

Harish vs Kartik Chaudhary on 12 March, 2024

Harish v. Kartik Chaudhary & Ors.

IN THE COURT OF MS. PAYAL SINGAL : CIVIL JUDGE - 08
(CENTRAL), ROOM NO.283, TIS HAZARI COURTS, DELHI

SUIT NO : 99738/2016
CNR NO.DLCT03-002814-2015

IN THE MATTER OF :-

Harish
S/o Sh. Sita Ram
R/o Khasra No.24, Ambedkar Basti,
Peepal Wali Gali, Bankner,
Delhi - 110 036.

...PLAINTIFF

VERSUS

1. Kartik Chaudhary,
S/o Late Sh. Chander Prakash Chaudhry,
Presently Proprietor of M/s La Sigma
(The Printing People)
R/o 9889, Nawab Ganj,
Azad Market, Delhi - 110 006.
2. Swati Chaudhary @ Jeevan
W/o Late Sh. Chander Prakash Chaudhry,
R/o 9889, Nawab Ganj,
Azad Market, Delhi - 110 006.
3. Aditya Chaudhary
S/o Late Sh. Chander Prakash Chaudhry,
R/o 9889, Nawab Ganj,
Azad Market, Delhi - 110 006.

...DEFENDANTS

Date of institution : 08.10.2015
Date of Reservation : 21.02.2024
Date of judgment : 12.03.2024

CS No.99738/2016

Pg 1 of 17
Harish v. Kartik Chaudhary & Ors.

SUIT FOR RECOVERY OF RS.50,000/-
WITH PENDENTE-LITE AND FUTURE INTEREST

JUDGMENT

1. Vide this judgment, I shall decide a suit for recovery of Rs.50,000/□

2. Before delving into the facts of the present suit, it is imperative to note that the present suit was filed under the provisions of Order XXXVII of CPC. An application under Order XXXVII Rule 3(5) of CPC for leave to defend was moved on behalf of defendant on 15.01.2016. However, during the course of arguments on the same, an application under Order I Rule 10 of CPC was moved on behalf of plaintiff along with amended plaint and amended memo of parties whereby defendants No.2 and 3 were impleaded as party to the present suit vide order dated 01.12.2017. Thereafter, on 05.05.2018, ld. Counsel for the plaintiff gave a statement regarding conversion of the present suit into an ordinary suit for recovery of money and on the basis of the said statement, the suit was converted and treated as an ordinary suit for recovery of money.

BRIEF FACTS OF THE PLAINT:

3. The brief facts of the plaint which are necessary for the adjudication CS No.99738/2016 Pg 2 of 17 Harish v. Kartik Chaudhary & Ors.

of the present case are:

(a) That the plaintiff has filed the present suit for recovery of money on the basis of a cheque bearing No.505836 dated 17.05.2014 for a sum of Rs.50,000/□ drawn on Bank of Baroda, Shastri Nagar branch, Delhi.

(b) It is the case of the plaintiff that the defendants are beneficiaries/ legal heirs of deceased Sh. Chander Prakash Choudhary, hence, are liable to discharge the debt and liabilities of late Sh. Chander Prakash Choudhary being beneficiaries of the assets of the deceased. It is the case of the plaintiff that during the lifetime of late Sh. Chander Prakash Choudhary, he issued the aforesaid cheque, being the proprietor of one M/s. La Sigma, in discharge of his dues towards plaintiff. At the time of issuance of the cheque, the plaintiff was assured of its honor, however, on presentation of the said cheque, same was dishonoured vide cheque check returning memo dated 22.05.2014 with the remarks "insufficient funds".

(c) That thereafter, the plaintiff contracted Late Sh. Chander Prakash Choudhary telephonically and informed him about the dishonoring of the said cheque, however he flatly refused to make the payment CS No.99738/2016 Pg 3 of 17 Harish v. Kartik Chaudhary & Ors.

of the said cheque and the other pending dues and also abused the plaintiff.

(d) That the bouncing of cheque given in discharge of legal liability is a criminal offence and civil liability for which the defendants are legally liable.

(e) The plaintiff also filed a complaint under Section 138 against Sh. Chander Prakash Choudhary as the cheque was bearing his signatures, being proprietor of M/s. La Sigma before his death but as a result of his expiration on 15.02.2015, the proceedings of the complaint case stood abated on 06.06.2015. Hence, the present suit against the defendants being the beneficiaries of the assets of late Sh. Chander Prakash Choudhary.

(f) The plaintiff thereafter issued a legal demand notice to the defendants on 02.09.2015 and the same was duly received by them on 04.09.2015 but the same has remained unanswered.

(g) The defendants being beneficiaries of the assets of late Sh. Chander Prakash Choudhary are liable to discharge the legal recoverable of the amount of the said cheque i.e. Rs.50,000/- and are also liable to pay interest at the rate of 18% per annum from CS No.99738/2016 Pg 4 of 17 Harish v. Kartik Chaudhary & Ors.

the date of cheque till its realization.

4. Hence, the present suit for recovery of Rs.50,000/- with 18% interest from the date of the said cheque till actual realization. WRITTEN STATEMENT:

5. The defendants No.1, 2 and 3 filed their joint written statement controverting the claims of the plaintiff while taking various preliminary objections such as the suit being false, frivolous and bogus; plaintiff having not approached the Court with clean hands and being guilty of suppressing material facts from the Court; plaintiff having no cause of action against the defendants to file the present suit in the absence of any document having been filed to prove that the alleged cheque was issued by late Sh. Chander Prakash Choudhary or that the defendants were the beneficiaries of the of the said firm and the suit being not maintainable in its present form.

6. On reply on merits, the contents of plaint have been denied either for want of knowledge or being wrong. It has been submitted that the cheque in question does not pertain to the defendants and it appears to have been issued on behalf of Firm M/s. La Sigma and the defendants are not connected with the said firm. Further, it has been CS No.99738/2016 Pg 5 of 17 Harish v. Kartik Chaudhary & Ors.

averred that the defendants are not aware whether the said cheque was issued by Late Sh. Chander Prakash Chaudhary, being the proprietor of M/s. La Sigma to the plaintiff. However, as per knowledge of defendants, the plaintiff was working with the said firm and was also keeping the cheques of the said firm with him and it might be possible that the said cheque has been stolen by the plaintiff as the firm was closed by Sh. Chander Prakash Chaudhary from April, 2014 and the cheque is dated 17.05.2014.

7. It has then been submitted that the defendants are not the beneficiaries of the assets of Late Sh. Chander Prakash Chaudhary nor inherited his property and hence, are not liable for the liability of the Late Sh. Chander Prakash Chaudhary or the said firm. Accordingly, the dismissal of the suit has been prayed for. REPLICATION:

8. The plaintiff has filed replication to the written statement of the defendant denying the case of the defendant; reiterating and reaffirming the case as set up by the plaintiff in the plaint. ISSUES:

9. From the pleadings of the parties, following issues were framed for CS No.99738/2016 Pg 6 of 17 Harish v. Kartik Chaudhary & Ors.

trial vide order dated 31.10.2018:

1. Whether plaintiff is entitled to the decree of recovery of Rs.50,000/□with future interest @ 18%, till its realization, as prayed for in prayer of the plaint? OPP.

2. Relief.

PLAINTIFF'S EVIDENCE:

10. In order to prove his case, plaintiff examined himself as PW□ whose examination in chief was by way of affidavit Ex.PW□/1. PW□ relied upon following documents:

(a) Ex.PW□/A original cheque No.505836 dated 17.05.2014.

(b) Ex.PW□/B certified copy of return memo.

(c) Ex.PW□/C one CD in envelope.

(d) Ex.PW□/D translated copy of CD dated 24.06.2014.

(e) Ex.PW□/E certified copy of complaint under Section 138 NI Act.

(f) Ex.PW□/F was de□exhibited and marked as Mark□A photocopy of written complaint dated 27.06.2015.

(g) Ex.PW□/G legal notice dated 01.09.2015.

(h) Ex.PW□/H was de□exhibited and marked as Mark□B photocopy of receipt dated 14.09.2015.

(i) Ex.PW□/I certified copy of death certificate of father of defendant CS No.99738/2016 Pg 7 of 17 Harish v. Kartik Chaudhary & Ors.

namely Late Chander Parkash Chaudhary.

(j) Ex.PW□/J certified copy of Aadhar Card of plaintiff. PW□ was duly cross□examined on behalf of the defendant and discharged on 19.03.2019 and vide separate statement of the ld. Counsel for the plaintiff, the plaintiff's evidence was also closed on the said date itself.

DEFENDANT'S EVIDENCE:

11. The defendants examined defendant No.1 to prove their case, whose examination in chief was by way of affidavit Ex.DW□/1. DW□ relied upon following documents:

(a) Ex.DW□/A original declaration with date of execution 29.04.2015.

DW□ was duly cross□examined on behalf of the plaintiff on several dates and finally discharged on 12.09.2023 and vide separate statement of the ld. Counsel for the defendants, the defendant's evidence was also closed on the said date itself. FINAL ARGUMENTS:

12. It was argued on behalf of the plaintiff that the original cheque has been placed on record which prima facie raises a presumption of existence of debt in favour of Late Sh. Chander Prakash Choudhary CS No.99738/2016 Pg 8 of 17 Harish v. Kartik Chaudhary & Ors.

and the defendants, being LR's of the said person, have inherited his assets and are therefore, liable for his liabilities as well. It was further argued that defendant No.1 has himself admitted to the said liability as per the conversation between the parties which is contained in CD placed on record, the transcript of which has also been filed. Accordingly, it is prayed that the suit of the plaintiff is liable to be decreed.

13. Per contra, it was argued on behalf of the defendants that the plaintiff has failed to bring on record any evidence in support of their averment that the defendants have inherited the assets of Late Sh. Chander Prakash Choudhary, in the absence of which they cannot be held liable for such person's liabilities. Accordingly, it is prayed that the suit of the plaintiff is liable to be dismissed.

14. I have heard the arguments and perused the record. My issue□wise findings are as follows:

ISSUE NO.1:

Whether plaintiff is entitled to the decree of recovery of Rs.50,000/□with future interest @ 18%, till its realization, as prayed for in prayer of the plaint? OPP.

15. The burden to prove the said issue was upon the plaintiff. The plaintiff CS No.99738/2016 Pg 9 of 17 Harish v. Kartik Chaudhary & Ors.

to discharge this burden has himself entered into the witness box and led evidence on the lines of the plaint. It is the case of the plaintiff that the cheque was issued by Late Sh. Chander Prakash Chaudhary as proprietor of M/s. La Sigma, during his lifetime, in discharge of his liability towards the plaintiff. The plaintiff/PW□ has relied upon the original cheque Ex.PW□/A alongwith bank returning memo qua dishonor of the same due to insufficiency of funds i.e. Ex.PW□/B in support of the same. It is further the case of the plaintiff that the defendants, being LR's of the said person, have inherited his assets and are accordingly, liable to pay his debts too. The plaintiff/PW□ has relied upon Ex.PW□/C and Ex.PW□/D i.e. CD and transcription of its contents respectively, being a

telephonic conversation between the plaintiff and defendant No.1 in support of his argument that the said defendant has admitted to his liability qua the plaintiff and undertaken to pay the same.

16. In order to be entitled to relief in his favour, the plaintiff has merely to prove that the cheque in question has been issued by the said person Late Sh. Chander Prakash Chaudhary. Now, in view of the fact that the cheque has been filed in original, which contains the signatures of CS No.99738/2016 Pg 10 of 17 Harish v. Kartik Chaudhary & Ors.

the said person as well as the fact that the defendants have not averred that the signatures on the said cheque are forged, the initial burden imposed upon the plaintiff stands duly discharged. However, it is the case of the defendant that the firm M/s. La Sigma closed during the lifetime of Late Sh. Chander Prakash Chaudhary, sometime in the year 2014 and the plaintiff, being an employee in the said firm, was in possession of its cheques, which he has misappropriated. Accordingly, the onus shifts upon the defendants to prove the same.

17. The defendants to discharge this onus have relied upon the testimony of DW□/defendant No.1 who has deposed on the lines of the written statement. DW□ has also relied upon Ex.DW□/A being a declaration on behalf of two person viz, Sh. Feroz Shah, S/o Sh. Qamrul Shah, R/o 9887, Nawab Ganj, Azad Market, Delhi□10006 and Sh. Ram Prit Mandal, S/o Sh. Sangeshwar Mandal, R/o 9887, Nawab Ganj, Azad Market, Delhi □110006 to show that the firm M/s. La Sigma, which was being run from 9887, Nawab Ganj, Azad Market, Delhi □110006, was closed during the lifetime of its proprietor i.e. Late Sh. Chander Prakash Choudhary and that all its dues were cleared by him during his lifetime. However, during the cross□examination of the said CS No.99738/2016 Pg 11 of 17 Harish v. Kartik Chaudhary & Ors.

witness, several contradictions have been brought on record which are relevant to note.

18. It is the case of the defendants that as per their information, i.e. defendant No.1 and defendant No.3 being sons of Late Sh. Chander Prakash Choudhary and defendant No.2, being his wife, the firm M/s. La Sigma was closed during the lifetime of Late Sh. Chander Prakash Choudhary and that they had no connection with the working of the said firm. However, during cross□examination on 23.08.2019, DW□ stated that he did not know whether the firm had any bank account or the current status of business of the said firm. On the other hand, when a question was put to him as to what happened to the bank account and funds of the said firm, he answered that there were no substantial funds in such account and only an amount of Rs.1,300/□was left. On the said date itself, DW□ further stated that there were three employees in the said firm. Then in cross□examination on the next date i.e. on 13.02.2020, DW□ also stated that he did not know if the said firm was closed in 2014 as he was not involved in its affairs. DW□ also stated that he did not know how many people were working in the said firm but in the very next question, he stated that CS No.99738/2016 Pg 12 of 17 Harish v. Kartik Chaudhary & Ors.

Sh. Feroz Khan and Sh. Ram Prit Mandal were employees in the said firm. When DW□ was put question with regard to declaration as relied upon by him as given by the said two persons and asked as to whether the said two persons resided at the addresses as mentioned in the said document,

DW□ replied that Sh. Ram Prit Mandal resided at that property as a tenant and paid rent @ Rs.1,000/□per month to him but Sh. Feroz Khan was not residing therein. Thereafter, on the cross□ examination of the said witness on 28.05.2022, DW□ again stated that he did not know as to how many employees were working in M/s. La Sigma or whether Sh. Feroz Khan and Sh. Ram Prit Mandal were its employees. Further, on the said date itself, DW□ has stated that "La Sigma was being run by my father from 9889, Nawab Ganj, Azad Market, Delhi□110006" whereas, during cross□ examination of PW□1, when PW□ stated that the said firm was running from this address, a suggestion was put to him that the said firm was being run from 9887, Nawab Ganj, Azad Market, Delhi □110006 which PW□ replied in the negative.

19. In view of the above stated averments that have come to light in the cross□ examination of DW□, it becomes clear that the witness is not CS No.99738/2016 Pg 13 of 17 Harish v. Kartik Chaudhary & Ors.

sure whether Sh. Feroz Khan and Sh. Ram Prit Mandal were employees of M/s. La Sigma, so it becomes highly questionable as to how he has relied upon the declaration of the said two persons qua the affairs of the said firm or the fact that the same was closed down after clearing of all its dues during the lifetime of Late Sh. Chander Prakash Choudhary. Even if, for arguments sake, it is believed that the said persons were employees of the said firm, there appears to be no reason as to why the said persons were not called as witnesses to prove the declaration Ex.DW□/A, especially when plaintiff had raised a specific averment with regard to the same being false. Thus, the defendants have failed to prove that the firm was closed during the lifetime of Late Sh. Chander Prakash Choudhary or that all its dues were cleared before its closure. Further, no evidence whatsoever has been lead on the point that the plaintiff has misused the cheque in question.

20. What is also relevant to note here is that defendants are themselves not sure as to the address from which M/s. La Sigma was being run as on the one hand, they put a suggestion to PW□ that the firm was being run from 9887, Nawab Ganj, Azad Market, Delhi □110006 after CS No.99738/2016 Pg 14 of 17 Harish v. Kartik Chaudhary & Ors.

he answered that the said firm was being run from 9889, Nawab Ganj, Azad Market, Delhi - 110006; on the other hand, DW□ in his cross□ examination has himself stated that the firm was being run from 9889, Nawab Ganj, Azad Market, Delhi □110006. What is also important to mention at this juncture is that it is the defendants' case that since they did not inherit any assets of Late Sh. Chander Prakash Choudhary, hence, they are not liable for his liabilities. However, it has also come in the cross□ examination of DW□ on 23.08.2019 that his grandfather owned two properties viz, property No.9885□9889, Nawab Ganj, Azad Market and second, A□895, Third Floor, Shastri Nagar. Then on 28.05.2022, DW□ stated that he did not reside in property No.9889, Nawab Ganj but runs his office from there and that property in Shastri Nagar, where he resides alongwith his mother, is in her name. Then on 16.11.2022, DW□ has stated that, "The property No.9885 and 9888 are shops and had been given on Pagdi system since the year 1965□1970. Both the shops are managed by the respective persons. In 9885, Sh. Hari Shankar is in occupation and in 9888 is Mrs. Java. Out of the three remaining properties No.9886, 87 and 89, property No.9886 and 89 have my shops in the name of Choudhary General Store and 87 is a room CS No.99738/2016 Pg 15 of 17 Harish v. Kartik

Chaudhary & Ors.

which I sometimes live in and sometimes use as godown."

21. From the said averments as made by DW□ about the properties of his grandfather, it is clear that he is living in as well as working from the properties which belong to his grandfather only. The natural corollary to the same would be that any right, title or interest that the defendants may have in the said properties has been traced through their father/husband Late Sh. Chander Prakash Choudhary. Although, DW□ has stated in his cross□examination on 12.09.2023 that he has filed a probate suit qua a will in his and his brother's name bequeathing properties No.9885□9889 by his grandfather wherein his aunts (i.e. Buas) have filed objections, but no documents have been placed on record qua the same. This coupled with the fact on a previous occasion, i.e. on 28.05.2022, DW□ refused to give any details about the said litigation, enables the Court to draw an adverse inference against him. Accordingly, in the absence of any documents to the contrary, it stands to establish that the defendants are reaping benefits from the properties which they have come into possession of through their father/husband itself and are accordingly, liable for his liabilities too.

CS No.99738/2016 Pg 16 of 17 Harish v. Kartik Chaudhary & Ors.

22. Accordingly, issue No.1 is decided in favour of the plaintiff.

RELIEF

23. In view of the discussion hereinabove, the suit of the plaintiff is decreed for a sum of Rs.50,000/□along with costs of the suit. The plaintiff is also held entitled to interest @ 8% per annum (simple) from the date of filing of the suit till actual realization.

24. Decree sheet be prepared accordingly.

Digitally signed by

25. File be consigned to Record Room. PAYAL PAYAL SINGAL SINGAL Date:

2024.03.12 (This judgment contains 17 pages 16:48:55 +0530 and each page has been signed by me.) Announced in the open court (PAYAL SINGAL) on 12.03.2024
Civil Judge - 08 (Central)/Delhi CS No.99738/2016 Pg 17 of 17